

ALI SHIRAZI

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APPOINTMENT

JULY 2022 Assistant Professor of Finance (Tenure Track), Saint Mary's University, Sobey School of Business

- Paternity Leave, Sep-Dec 2025

EDUCATION

- **HEC Montréal** **2022**
PhD in Finance
- **Concordia University** **2015**
MA in Economics
- **University of Tehran** **2006**
BA in Economics

WORKING PAPERS

2025 **Too Big to Diversify: Market Concentration and the Pricing of Corporate Bonds** , with Alexandre Jeanneret

This paper shows that concentration risk—the vulnerability arising from the dominance of a few corporate giants—is priced in corporate bonds. We construct a monthly concentration index from the asset share of the largest U.S. firms and estimate bond return sensitivities to its innovations. Rising concentration amplifies the transmission of firm-specific shocks, undermines issuer diversification, and heightens stress in fixed-income markets. Bonds that underperform more when concentration increases are compensated with higher subsequent returns. Our findings identify the distribution of firm size as a novel macro- structural source of priced risk, with important implications for portfolio allocation and financial stability.

2023 **Asset Pricing in a Concentrated Economy***, with Harjoat Bhamra, Christian Dorion & Alexandre Jeanneret

Best Paper Award in Asset Pricing (2026 SAIF Annual Research Conference)

Market concentration drives the cross-sectional price of systematic risk. We develop a general equilibrium asset pricing model in which the distribution of firm sizes governs expected returns. Kimball demand gives larger firms higher markups, so rising concentration raises aggregate profits today; creative destruction then weakens as incumbents dominate, slowing productivity growth tomorrow. Higher concentration is therefore associated with lower expected dividend growth in the model, qualifying it as an observable long-run-risk state variable under recursive preferences. We take this mechanism to U.S. equity data from 1973 to 2024. Rising concentration coincides with macroeconomic and financial bad- state variables. Exposure to concentration risk is priced negatively in the cross-section, and the pricing is orthogonal to the Fama–French factors. The slope of the Security Market Line flips from positive in falling-concentration months to negative in rising-concentration months. The concentration premium is most visible in the Betting-Against-Beta strategy, which earns 3.7% per month more when concentration rises than when it falls. These results identify the industrial structure of the economy as an observable source of time-varying risk prices.

PRESENTED AT Northern Finance Association Annual Meeting (2020)[†], Université Laval (2020)^{??}, HEC-McGill Winter Workshop (2020)^{??}, Saint Mary's University (2022), The University of Queensland (2023)^{??}, The Australian National University (2023)^{??}, European Finance Association Annual Meeting (2023), Financial Management Association Annual Conference (2023), London Quant Group Meeting (2025)^{??}, SAIF Annual Research Conference (2026)^{??}.

*Previously circulated as "Equity Prices in a Granular Economy"

[†]Presented by co-author.

WORK IN PROGRESS

2026 Market Concentration and Equity-Bond Correlation

TEACHING

ROLE Instructor

2026 *Theory of Asset Pricing (PhD), SMU*
Financial Econometrics (PhD directed Studies) , SMU
Fixed Income Securities (Master of Finance) , SMU
Business Finance I (B.Comm), SMU

2024 *Theory of Asset Pricing (PhD), SMU*
Fixed Income Securities (Master of Finance) , SMU
Business Finance (MBA) , SMU
International Financial Management (B.Comm) , SMU

2023 *International Financial Management (B.Comm) , SMU*
Fixed Income Securities (Master of Finance) , SMU
Business Finance (MBA) , SMU

2022 *Business Finance (B.Comm) , SMU*

2021 *Futures and Options (B.Comm), HEC Montréal*

2011-2013 *Capital Budgeting (B.A Economics), University of Tehran*

ROLE Co-Instructor & Teaching Assistant

2021 *Derivatives Pricing (M.Sc.), HEC Montréal*

2020 *Market Risk Management (M.Sc.) , McGill University*

2018 *Financial Econometrics (M.Sc.), Corporate Finance (B.Com.), HEC Montréal*

SCHOLARSHIPS & AWARDS

2022 New Faculty Research Fund. 25,000 CAD
Saint Mary's University

2022 The Faculty of Graduate Studies and Research. 5,000 CAD
Saint Mary's University

2021 The Bank of Canada Graduate Student Paper Award (*runner-up*). 1,000 CAD
By The Bank of Canada

2020 SSRCH Doctoral Fellowship. 20,000 CAD
By Social Sciences and Humanities Research Council

2020 Travel Grant . 750 USD
By American Finance Association

2019 Pierre Arbour PhD Scholarship . 17,000 CAD
By Pierre Arbour Foundation

2019 Hydro Québec PhD Scholarship . 20,000 CAD
By Hydro Québec

2018	Jean-Louis Mercier PhD Scholarship . 6,000 CAD <i>By Jean-Louis Mercier</i>
2016-20	PhD Admission Scholarship. 80,000 CAD <i>By HEC Montréal</i>
2015	Graduation Excellence Award. 2,000 CAD <i>By Concordia University</i>

DISCUSSIONS

2024	Discussion of <i>Two Trees with a Gardener: Asset Pricing with Real Capital Flows</i> by Sebastien Betermier, Laurent Calvet, Evan Jo, and Johan Walden. Junior Faculty Conference, McGill University, Montreal, Canada.
2022	Discussion of <i>Learning about the consumption risk exposure of firms.</i> by Yongjin Kim, Lars Alexandre Kuhen, and Kai Li. Northern Finance Association Conference in Banff, Canada.
2021	Discussion of <i>Is idiosyncratic risk priced? The international evidence.</i> by Paul Brockman, Tao Gou, and Maria Vivero, and Wayne Yu. World Finance Conference. On-line.

REVIEW COMMITTEES

2024-PRESENT	Northern Finance Association
2024	Midwest Finance Association
2022	Midwest Finance Association

PROFESSIONAL EXPERIENCE

2021	Society of Financial Econometrics (SoFiE) Summer School Kellogg School of business. Chicago, Illinois, USA (Virtual)
2019	Society of Financial Econometrics (SoFiE) Summer School Kellogg School of business. Chicago, Illinois, USA.
2018	Academic Writing Workshop HEC Montréal
2018	CEAR-RSI Household Finance Workshop Hotel Saint Sulpice. Montréal, Canada.

OTHER

SERVICE	Research Strategy Committee (Sobey School of Business) Strategic Planning Committee (Sobey School of Business). Finance Program Review Committee (SMU) Certificate in Data Analytics Committee (SMU) EDIA Committee (SMUFU)
CITIZENSHIP	Canadian, Iranian
LANGUAGES	English (Fluent), French (B2), Arabic (Fluent), Persian (Native). June 2015